

CodeAlpha Finance & Investment Analysis

Task 3 — Hypothetical Investment Portfolio Creation

Portfolio objective: create a diversified hypothetical portfolio worth ₹1,00,000, using stocks, ETFs and cryptocurrency while balancing growth potential and risk.

Asset Class	Allocation	Weight
Stocks	₹45,000	45%
ETFs	₹35,000	35%
Crypto	₹20,000	20%
Total	₹1,00,000	100%

1. Portfolio Allocation and Rationale

Asset	₹	%	Rationale
Apple (AAPL)	₹15,000	15%	Large-cap technology exposure; strong ecosystem and long-term growth potential.
Microsoft (MSFT)	₹15,000	15%	Diversifies tech exposure through cloud, software and AI-related businesses.
NVIDIA (NVDA)	₹15,000	15%	Higher-growth AI/semiconductor exposure; adds return potential but with higher volatility.
NIFTYBEES	₹20,000	20%	Broad Indian large-cap diversification through a single index-tracking ETF.
GOLDBEES	₹15,000	15%	Diversifier that may behave differently from equities during market stress.
Bitcoin (BTC)	₹10,000	10%	Largest crypto asset; intended as a limited high-risk growth allocation.
Ethereum (ETH)	₹7,000	7%	Adds exposure to the Ethereum ecosystem while keeping crypto risk limited.
Solana (SOL)	₹3,000	3%	Small speculative allocation for higher-upside potential with substantial volatility.

2. Risk Management Strategy

The portfolio intentionally combines growth-oriented stocks with broad-market and gold ETFs. Crypto is limited to 20% of the portfolio, with only 3% assigned to Solana because of its higher speculative risk. The approach aims to reduce concentration risk while preserving exposure to higher-growth assets. The portfolio should be reviewed periodically and rebalanced when allocations move materially away from their targets.

3. Expected Role of Each Asset Class

Class	Role
Stocks	Primary growth engine; concentrated company-specific risk is controlled by using three companies.
ETFs	Diversification through broad equity exposure and gold; intended to reduce dependence on individual stocks.
Crypto	High-risk/high-volatility satellite allocation intended to add potential upside without dominating the portfolio.

Conclusion

This ₹1,00,000 hypothetical portfolio emphasizes diversification and risk control. The 45% stock allocation targets long-term growth, 35% ETF allocation provides broader diversification and gold exposure, and the 20% crypto allocation adds controlled exposure to a high-risk asset class. The portfolio is for educational purposes only and does not guarantee returns or constitute personalized financial advice.

Reference: CodeAlpha Finance & Investment Analysis Task 3 instructions. Portfolio values and allocations are hypothetical for internship analysis.